Beauhurst

Exits in the UK

Selling Up, Not Out 2025

CHARLES STANLEY
Wealth Managers

Contents

Foreword

Exiting a business in today's UK market is no longer the straightforward milestone it once was.

While 2021 marked a high for exit activity - fuelled by low interest rates, government stimulus, and a surge in investor appetite - the years since have brought a more complex and cautious environment. Rising interest rates, geopolitical uncertainty, and the more recent 'tariff turbulence' have reshaped the exit landscape. For founders and business owners, this means navigating not only operational challenges, but also the timing and structure of their eventual exit.

That said, our 2025 edition "Exits in the UK - Selling Up, Not Out" developed in partnership with Beauhurst, show that exit activity is still high and remains elevated above pre-pandemic levels. Since 2015, nearly 8,000 high-growth UK companies have exited, with almost 40% of that activity occurring in just the last two and a half years.

While IPO volumes have declined, acquisitions remain strong, and secondary transactions are becoming a vital tool for founders seeking liquidity without a full exit. These trends reflect a maturing ecosystem - one where founders have more options than ever before to align their business decisions with personal and financial goals.

The early signs from 2025 are encouraging. IPO activity is showing signs of life, albeit from historic lows, and M&A markets are regaining momentum. But more importantly, founders are beginning to think differently about exits - not as endpoints, but as strategic transitions.

At Charles Stanley, we understand that every exit is personal. Behind each transaction is a founder's vision, an investor's belief, and a team's hard work. Our role is to help steward the wealth created through these journeys, ensuring it supports the long-term goals of individuals, families, and businesses. With over 200 years of experience, we remain committed to helping our clients navigate change, realise value, and plan for the future.

Whether you are preparing for an exit, investing in the next wave of innovation, or simply seeking to understand the market, we hope you find this report useful.

Cliadhna Law
Head of Direct & Professional Sales
Charles Stanley

Introduction

Exits by UK high-growth companies remain an important mechanism for unlocking value across the startup ecosystem. For investors, exits allow for the realisation of equity returns and the reinvestment of capital into new ventures. Founders gain liquidity, often utilising this capital to fund the next generation of startups. These outcomes feed back into the ecosystem, sustaining innovation and entrepreneurial ambition.

Since 2015, nearly 8,000 high-growth companies have exited, with acquisitions accounting for the majority. While the number of IPOs has remained comparatively low, the public markets provided a major source of capital in 2021, when 65 listings generated a combined market capitalisation of £20.9 billion. In contrast, only four companies went public in 2023. Over the past ten years, most high-growth companies that have gone public have chosen to list on the UK's Alternative Investment Market (AIM). The IPO slowdown reflected broader macroeconomic conditions: rising inflation, geopolitical instability, and diminished investor risk appetite made public listings less attractive.

Alongside these trends, founder-led secondary transactions have become more prominent. In 2022, a record 1,799 secondary deals were recorded among equity-backed companies, highlighting the growing importance of partial liquidity solutions in a market where firms are choosing to remain private for longer. These transactions offer flexibility to founders while enabling investors to reinvest their capital without requiring a full exit.

Exit activity surged in 2021 as the market rebounded from pandemic-era uncertainty as low interest rates and government stimulus measures created favourable conditions. Acquisition volumes nearly doubled compared with pre-pandemic levels, with corporate and financial buyers pursuing opportunities for acquisition and international expansion. The application software and Software-as-a-Service (SaaS) sectors stood out in both acquisition and IPO counts, driven by the demand for scalable, recurring-revenue business models.

Looking ahead, early signs in 2025 suggest renewed momentum. In Q1 alone, three IPOs raised more than the total market capitalisation of all listings in 2022, 2023, or 2024. Interest rates have begun to stabilise, and the return of cash reserves into the M&A market is creating new opportunities for both strategic and financial buyers. Though hurdles persist, the UK exit landscape appears to be stabilising, with a shift toward more consistent and diversified results.

"Over the past ten years, most high-growth companies that have gone public have chosen to list on the UK's Alternative Investment Market (AIM)."

01

Market overview

Market overview

Key figures (2015-Q1 2025)

51.6%
average proportion of exits at the established stage of evolution

225
number of exits via IPO

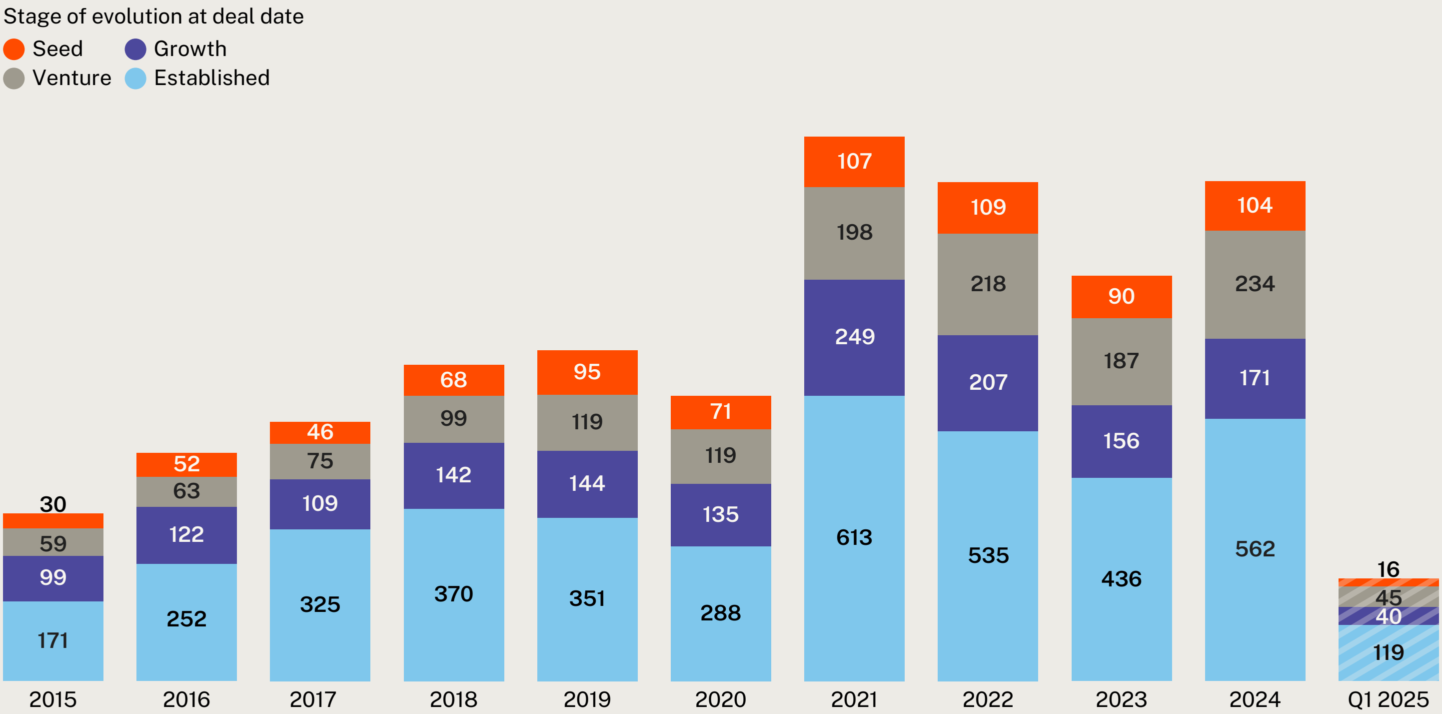
2,212
number of exits in the application software sector

Between 2015 and Q1 2025, most exits by high-growth companies occurred at the established stage of evolution. Exits at this stage represented an average of 51.6% of all exits per year. The number of UK company exits hit a record in 2021, with a combined total of 1,167. Over half of those — 613, or 52.5% — were by companies at the established stage. This proportion of exits at the established stage is in line with the expected growth of a company. An exit, whether through acquisition or IPO, is typically the culmination of years of value creation. As such, companies reaching this milestone tend to be more mature and ingrained in their markets. Being established means that a company has both the scale and visibility to attract buyers or successfully list on a stock exchange.

Despite the dominance of exits by established companies, the number of early-stage exits has been on the rise. The proportion of venture-stage companies has grown over the past decade, both in absolute and proportional terms. In 2015, there were 59 venture-stage exits (16.4% of the total that year), whereas in 2024, venture-stage exits reached their highest count (234) and share (21.9%).

In contrast, seed-stage exits have remained a minority throughout the period. Their share hovered between 7% and 13% annually, peaking at 13.4% in 2019 (95 exits). By Q1 2025, seed-stage exits accounted for just 7.27%, though their proportion of 16 exits represents a slightly higher quarterly rate than in several prior years.

Exits by high-growth companies by stage of evolution (2015-Q1 2025)



Types of exits

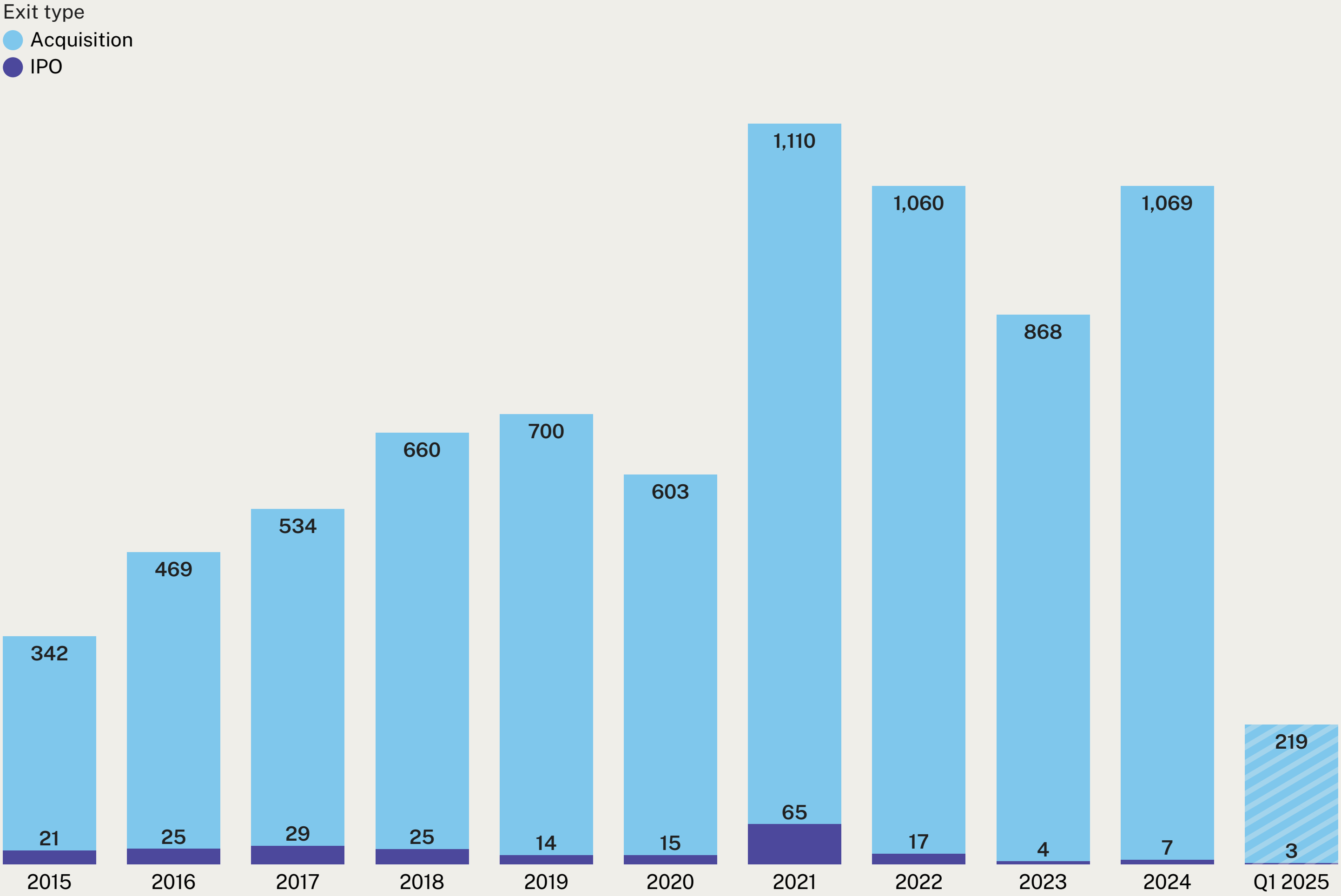
Between 2015 and Q1 2025, acquisitions were the dominant form of exit strategy for high-growth companies. While the number of IPOs surged briefly during the favourable market conditions of 2021, they have since reverted to historically low levels.

The highest count of acquisitions was also recorded in 2021, with 1,110 deals — nearly double the number seen just five years prior in 2016 (469). Acquisitions dipped after this peak but with 1,060 and 1,069 occurring in 2022 and 2024 respectively. This suggests that the uptick in acquisition activity was sustained beyond the initial post-pandemic boom.

IPOs, by contrast, exhibited greater volatility. While the number of IPOs peaked in 2021 with 65 listings, this accounted for only around 5.57% of that year's total exits. In most other years, IPO counts ranged between 14 and 29, falling to single digits in the years immediately following the market cooling of 2022 — only four in 2023 and seven in 2024. As of Q1 2025, three companies have already undergone an IPO.

The largest deal across the last decade was the acquisition of GKN for £8.10 billion. Acquired by Melrose Industries in March 2018, GKN was a large engineering group specialising in aerospace components, including engines, fuel tanks and landing gear. In 2019, GKN was restructured into three core divisions: GKN Aerospace, GKN Automotive, and GKN Powder Metallurgy. The scale of this transaction reflects the continued strategic value of acquisitions, particularly in sectors requiring deep technical expertise.

Proportion of exits by high-growth companies by exit type (2015-Q1 2025)



Top sub-sectors

Top industries by number of high-growth company exits (as of May 2025)

Application software	2,212
Software-as-a-Service (SaaS)	1,134
Distribution and wholesale	667
Data provision and analysis	626
Technology consultancy and IT and telecommunications support	588
Marketing, branding and advertising	505
Mobile apps	496
Online retailing	489
Manufacturing	480
Human resources	454
Electronics hardware	425
Cars, motorcycles and other road vehicles	389
FinTech	347
Security and surveillance	346
Repair, maintenance and servicing	338

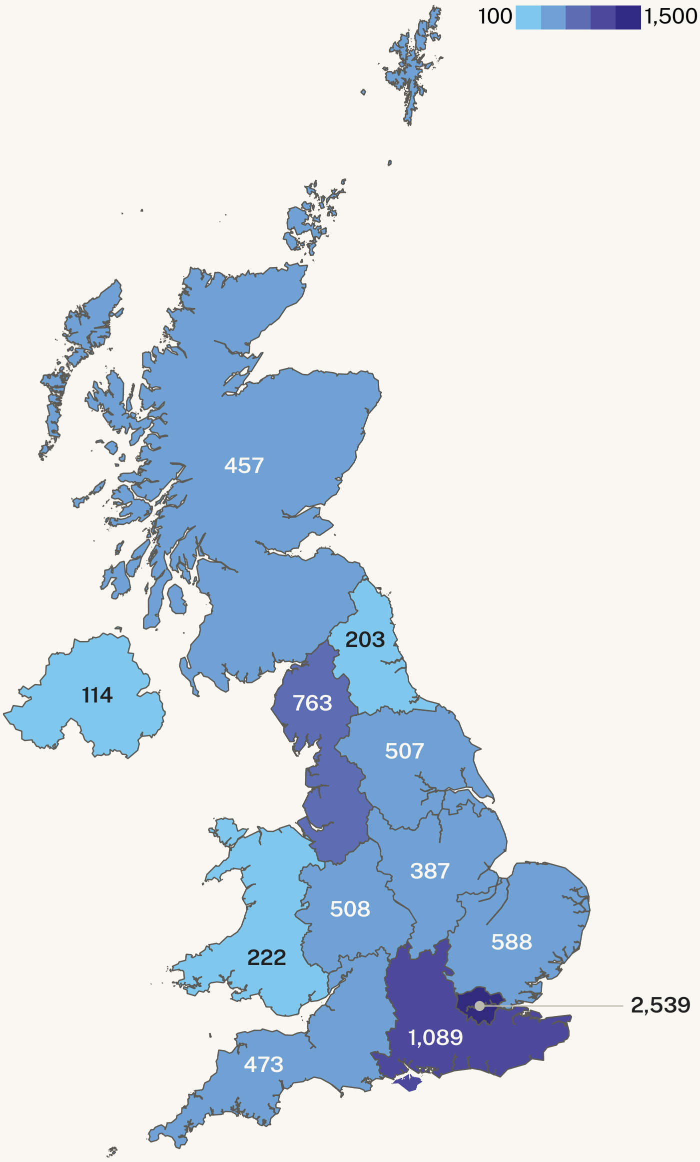
As of May 2025, application software is the top sector among exited companies. This category encompasses businesses developing software for end users, such as internet platforms and mobile applications. These companies develop software spanning a broad range of verticals, such as banking and digital security. Collectively, there were 2,212 exits by companies in this sector, nearly double the number of exits by companies in the Software-as-a-Service (SaaS) sector. This performance spans both exit types, accounting for 59 IPOs and an even more substantial 2,153 acquisitions.

The SaaS sector follows, with 1,134 exits to date, the vast majority of which were acquisitions (97.5%). This high exit volume underscores the continuous appeal of the SaaS business model for scalable, recurring-revenue tech firms. These characteristics make SaaS companies particularly attractive to acquirers, particularly large incumbents seeking product expansion or customer base growth.

Though less prominent in total exit numbers, pharmaceuticals emerged as the second most active sector for IPOs, with 34 listings over the period. Among the top IPOs during this period was Exscientia's listing in October 2021. The company went public on the NASDAQ with a market capitalisation of £226 million. Based in Tayside, the company uses artificial intelligence to design small-molecule drugs, predicting their biological effects and streamlining the drug discovery process.

Regional distribution

Number of exited high-growth companies by region (as of May 2025)



The geographic distribution of exited companies in the UK reveals a clear concentration in London and the South East. London alone accounts for over 2,500 exits—more than double the count in any other region. Companies in the capital benefit from access to the city's network of venture capital and private equity firms, which not only improves their chances of securing funding but also connects them with experienced advisors capable of guiding them toward an exit.

London's global connectivity further increases its prominence. Its strong transport links, and proximity to investors and policymakers make companies based there more accessible and attractive to global acquirers and strategic partners. Beyond infrastructure, in mature ecosystems like London, founders, board members, and investors often have first-hand experience with the process of exiting. This creates a cycle in which successful exits attract new capital, talent, and ambition, further entrenching London's appeal.

The South East follows with over 1,000 exits and exhibits many of the same strengths. Cities like Oxford contribute significantly to this total, powered by globally renowned academic institutions such as the University of Oxford and a network of cutting-edge science and technology parks. These assets make the region a hotspot for deeptech and biotech innovation, attracting both investment and acquisition interest.

Outside of London, Leeds stands out as one of the leading local authorities by number of company exits, with 155 recorded since 2015. One of the most notable exits from the region was the £75 million acquisition of BigChange in February 2021 by US-based private equity firm Great Hill Partners. BigChange provides an all-in-one job management platform that enables businesses to monitor and manage mobile workforces, catering to sectors like logistics and field services.

Darktrace

Poppy Gustafsson, Founder

Darktrace develops a cybersecurity software platform. Founded in 2013 after spinning out of the University of Cambridge, Darktrace uses machine learning to detect cybersecurity threats. The platform establishes a baseline of 'normal' behaviour for each user and device within an organisation, allowing it to detect anomalies that may signal a cybersecurity threat. Several evolutions of Darktrace's technology have seen it be able to respond to in-progress cyberattacks, apply its software to email environments, and now use AI to augment human security teams in detection and response, as well as threat investigation and reporting.

Over the course of its operations, Darktrace has received £173 million in equity funding via seven funding rounds, most recently in June 2020. Darktrace's early raises were to help fuel growth and expand internationally, as well as meet the demand for its new solutions.

In April 2021, Darktrace underwent an IPO, listing on the London Stock Exchange. The company's market capitalisation at the time of IPO was £1.72 billion, making it the sixth largest IPO by a UK company that year. While Darktrace's initial performance on the stock market was good, helped by its conservative valuation at the time of its IPO, it saw share prices fall in the years after its listing. The company has since been taken private, acquired by US private equity firm Thoma Bravo in October 2024. The firm, which specialises in acquiring software companies, purchased Darktrace with the ambition to "help the business be a truly global player, expanding the team's innovative pipeline of development opportunities and capabilities for its customers."[1] Thoma Bravo will provide knowledge and financial resources to Darktrace in order to help the company grow.

Poppy Gustafsson is the co-founder and former CEO of Darktrace. Initially holding the position of CFO at the time of Darktrace's founding, Gustafsson went on to become COO before taking over as CEO in October 2016. Gustafsson led Darktrace at the time of its IPO. The listing was a milestone moment for the then-CEO, stating "our company is deeply rooted in the UK's tradition of scientific and mathematic research, so we are especially proud to be listing on the London Stock Exchange."[2] She then left the company in 2024 prior to its acquisition by Thoma Bravo. Since leaving the company, Gustafsson has been appointed to Kier Starmer's Labour government as Minister of State for Investment. Through this position, she leads the reformed Office for Investment, which aims to develop the government's partnerships with businesses and investors.

Since Darktrace's acquisition, the company has carried out an acquisition of its own. In February 2025, the company acquired Cado Security. The London-based company develops cloud-based incident response software, which enables users to analyse threats, aiming to reduce recovery time and mitigate damage. Through this acquisition, Darktrace intends to invest in and grow Cado's existing products as well as integrate them into Darktrace's own cybersecurity platform.

> **Our company is deeply rooted in the UK's tradition of scientific and mathematic research, so we are especially proud to be listing on the London Stock Exchange."**

DARKTRACE

[1] Thoma Bravo. 2024. "Thoma Bravo completes acquisition of Darktrace." October 1 2024.

[2] Sweney, Mark. 2021. "Darktrace shares soar by 40% on London stock market debut." The Guardian. April 30 2021.

02

IPO trends

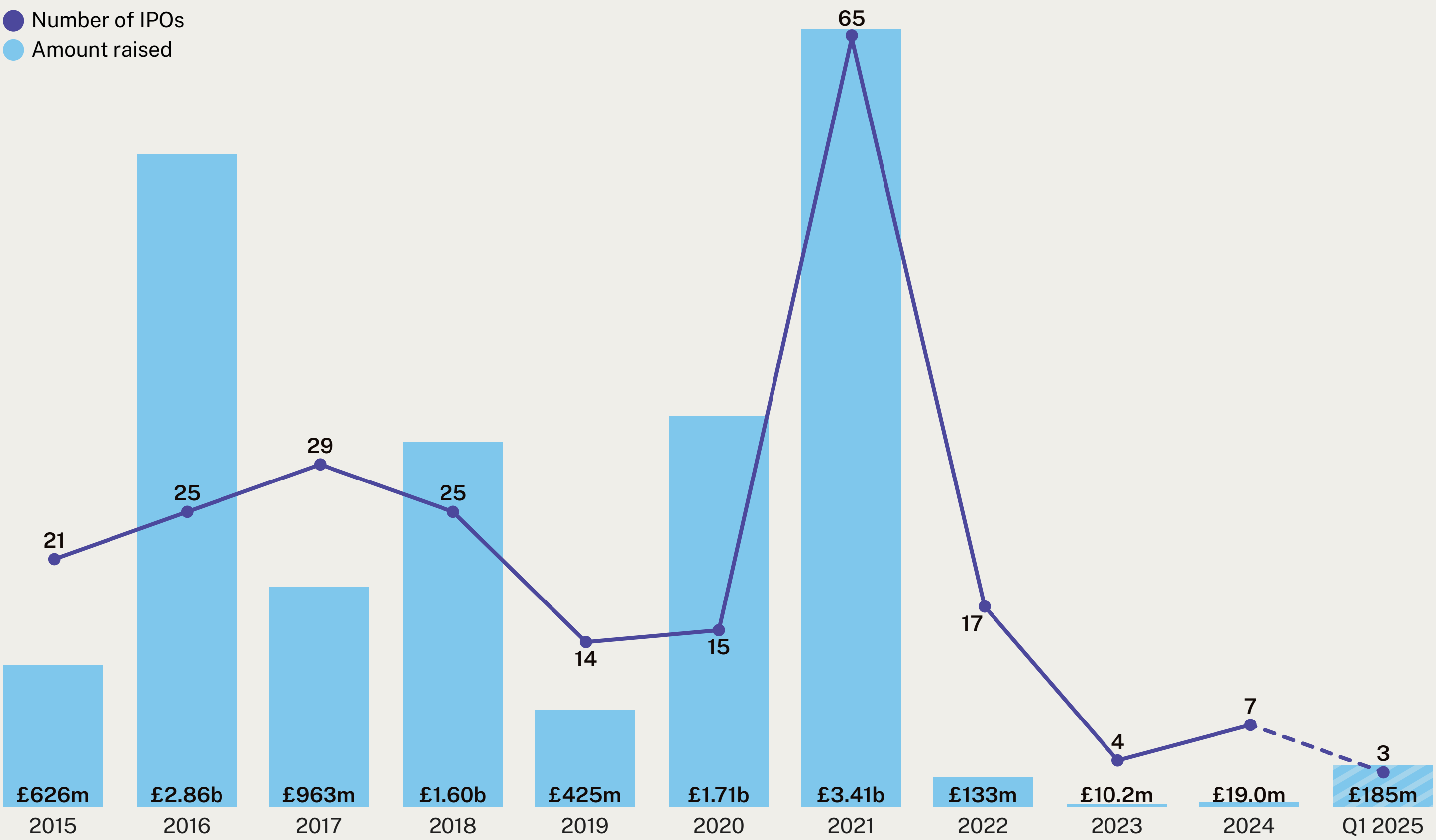
IPO trends

Q1 2025 saw three IPOs, with their combined amount raised already surpassing the full-year totals recorded in each of the previous three years, marking a strong start for the UK listings market. The largest IPO listing by amount raised was by the London-based Ferrari Group, which listed on Euronext Amsterdam and raised £164 million in the process. Two of the three listings that have occurred this year were on foreign exchanges, reflecting a broader issue in the UK public markets, where companies are increasingly favouring foreign listings.

While 2021 was an exceptional year for the IPO market in the UK, both in terms of the number of companies listing and the amount raised, the current state of the market leaves much to be desired. Exits in 2021 were bolstered by pent-up demand after the COVID-19 pandemic, as well as the government stimulus measures introduced during the pandemic. These measures included looser monetary policy, which reduced interest rates, leading investors towards equities as bond returns fell and making capital cheaper. Liquidity and investor appetite were high, creating favourable listing conditions. Companies that delayed listing in 2020 could do so in 2021, taking advantage of these favourable conditions and raising more capital. Since then, the public market has suffered, with rising inflation and geopolitical events dampening investor sentiment and discouraging long-term bets. Several firms that went public in 2021 performed disappointingly, notably Deliveroo and Made.com, which have damaged confidence and made investors wary of companies that may have rushed to list.

Deliveroo's subsequent acquisition by DoorDash is positive for the company, but highlights the London Stock Exchange's continued struggle to retain UK companies. Fast-fashion giant Shein's potential LSE listing offers hope, but investors' concerns over the company's valuation and new US tariffs have dented its IPO prospects. Shein's decision not to list in the UK could deal another blow to the UK's appeal as a listing destination.

Number and total amount raised by high-growth IPOs (2015-Q1 2025)



Applied Nutrition

Thomas Ryder, Founder

Applied Nutrition is a UK-based developer and manufacturer of sports and nutrition products. The company was founded in 2014 by Thomas Ryder, who began his career as a scaffolder after leaving school at 16. Alongside his day job, Ryder pursued a long-standing interest in fitness, opening a supplement shop, Body Fuel, at 18. He ran the store for six years before transitioning full-time into supplement manufacturing.

Applied Nutrition began operations in Knowsley, Merseyside, initially formulating and distributing products from a family home. It has since expanded into a multi-category brand offering hydration, endurance, protein, and recovery products for a range of consumers, including professional athletes and recreational gym-goers.

A key feature of Applied Nutrition's operating model is its full control over production. The company manufactures all of its products in-house at its Knowsley facility, covering formulation, blending, packaging, and distribution. "Our team's ability to design, test, and refine products under one roof gives us an edge – it's a streamlined process that allows us to move from concept to shelf in a matter of weeks," says Ryder.

The company operates primarily through a B2B distribution model, supplying major UK retailers, international supermarkets, and specialist outlets. Applied Nutrition's products are also stocked in over 80 international markets. In the UK, its visibility has been supported by partnerships with professional sports organisations, including a commercial agreement with the Premier League clubs which has helped raise brand awareness among fitness and football audiences.

> **We are excited at the prospect of widening our shareholder base and we are confident that a London-listing would further enhance our brand awareness and provide a platform for continued growth"**

In October 2024, Applied Nutrition completed an IPO on the main market of the London Stock Exchange. The company priced its shares at 140 pence, raising £158 million and achieving a market capitalisation of approximately £350 million at listing. This represented one of the largest UK consumer-sector IPOs in recent years, taking place during a period of relatively low listing activity across public markets.

The decision to go public followed several years of expansion and growing international sales. Prior to its IPO, Applied Nutrition had established a presence in key retail channels and invested in its digital and logistics infrastructure. The company stated that the capital raised would be used to support future growth, including potential geographic expansion and further product innovation. "We are excited at the prospect of widening our shareholder base and we are confident that a London-listing would further enhance our brand awareness and provide a platform for continued growth," says Andy Bell, Non-Executive Chair of Applied Nutrition.[3]

Post-IPO, Applied Nutrition has indicated a particular focus on the U.S. market, which represents a significant share of the global sports and active nutrition industry. It also plans to continue developing its research and development capabilities and expand its direct-to-consumer operations. Company leadership described the listing as a step intended to support these strategic goals and provide access to long-term capital.

APPLIED NUTRITION™

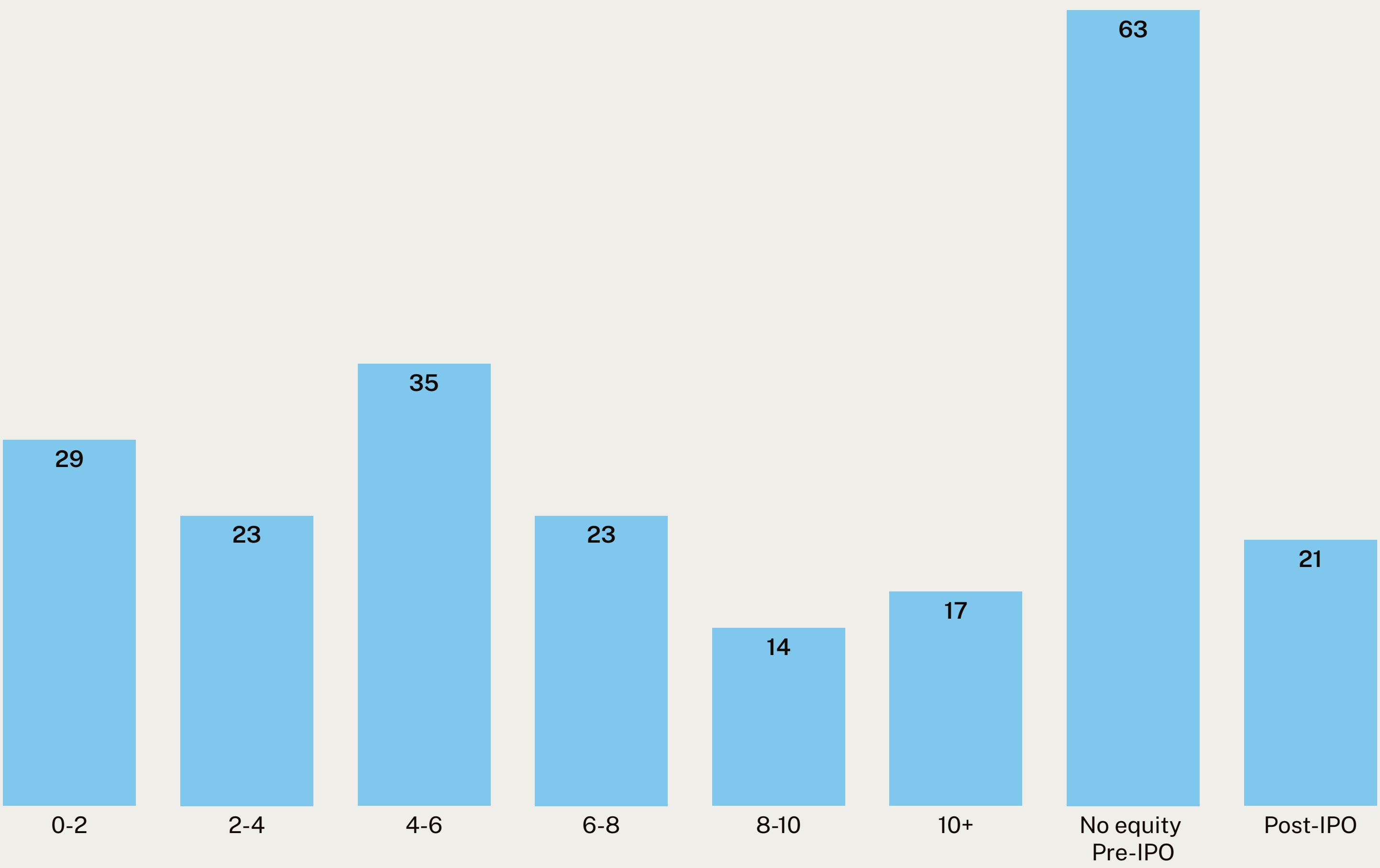
[3] Hodgson, Neil. 2024. "Applied Nutrition to Be Valued at up to £400m on Stock Market Admission | TheBusinessDesk.com." North West. October 15, 2024.

Time taken from first equity to IPO

It takes most high-growth companies between four and six years to go from their first equity raise to IPO, with the average time being 5.35 years. Interestingly, the second most frequent length of time for a company to go from equity to IPO was zero to two years. This shows that some companies move extremely quickly from when they first get backing to eventually exiting. This was particularly common for companies that undertook an IPO in 2024, with 42.9% of companies taking less than two years to go from first equity raise to IPO. Most firms that have undergone an IPO have not raised any equity, with 21 companies also raising their first round after listing.

Tan Delta took 13.7 years to go from its first equity raise to its eventual IPO, which was the longest any company took throughout the period. The average time taken for companies that underwent an IPO in 2023 and raised equity before was 11 years, the highest average of any year in the period. Only two companies that underwent an IPO in 2023 had raised equity before doing so. One of these companies was Tan Delta, the other was ReFuels, which took 8.27 years to go from its first equity raise to IPO. This explains why the average time taken to go from first equity to IPO was so high for 2023. The same can be said for Q1 2025, with only one company raising equity before its exit. RedCloud took 8.32 years to exit, meaning the average for the year is also 8.32 years. The shortest average was 3.01 years for companies carrying out an IPO in 2024. Three companies that underwent an IPO in 2024 took less than two years to go from first equity raise to IPO.

Average time for high-growth companies to go from first equity investment to IPO (2015 - Q1 2025)



03

Acquisition trends

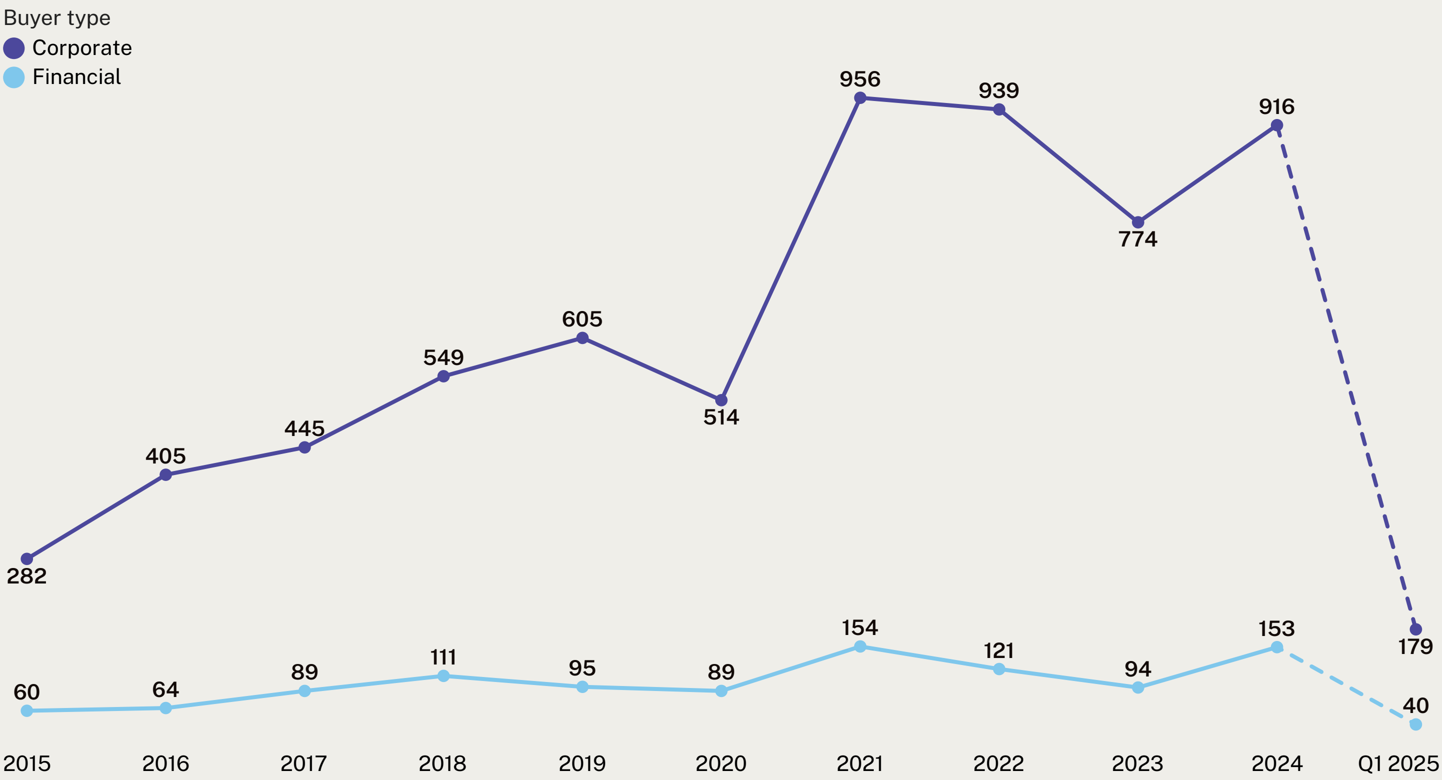
Acquisition trends

The number of acquisitions of UK high-growth companies has continued to rise since 2015. Acquisitions peaked in 2021, when 956 companies were acquired by corporate buyers, and 154 by financial buyers, totalling 1,110 for the year. Q1 saw the highest number of acquisitions of any quarter during 2021, which was a result of companies delaying acquisitions from 2020 to 2021 because of the pandemic. Confidence returned in 2021, with the rollout of a vaccination campaign against COVID-19, and this encouraged an increase in acquisitions. There was also a sense of urgency to get deals done in early 2021, with inflation beginning to tick upwards, suggesting interest rate rises were imminent, which would have increased the cost of financing these acquisitions.

Acquisition numbers dropped in the years following 2021 but picked back up again in 2024. Despite a slow start to the year, 2024 saw the second-highest number of acquisitions across the period. The fourth quarter of 2024 saw the highest number of acquisitions for any quarter across the period, with 17 more deals occurring compared to Q1 2021. The increase in acquisitions was likely driven by a gradual decline in interest rates, which began in mid-2024, making it cheaper to finance acquisitions. Additionally, many companies looked to complete acquisitions before the October budget, which will have contributed to the increased deal volume towards the end of the year. There were also several instances of take-private deals occurring in 2024, such as Darktrace (which was acquired by Thoma Bravo in October 2024 after its IPO in April 2021) and musicMagpie (which was acquired by ao.com in December 2024 after its IPO in April 2021).

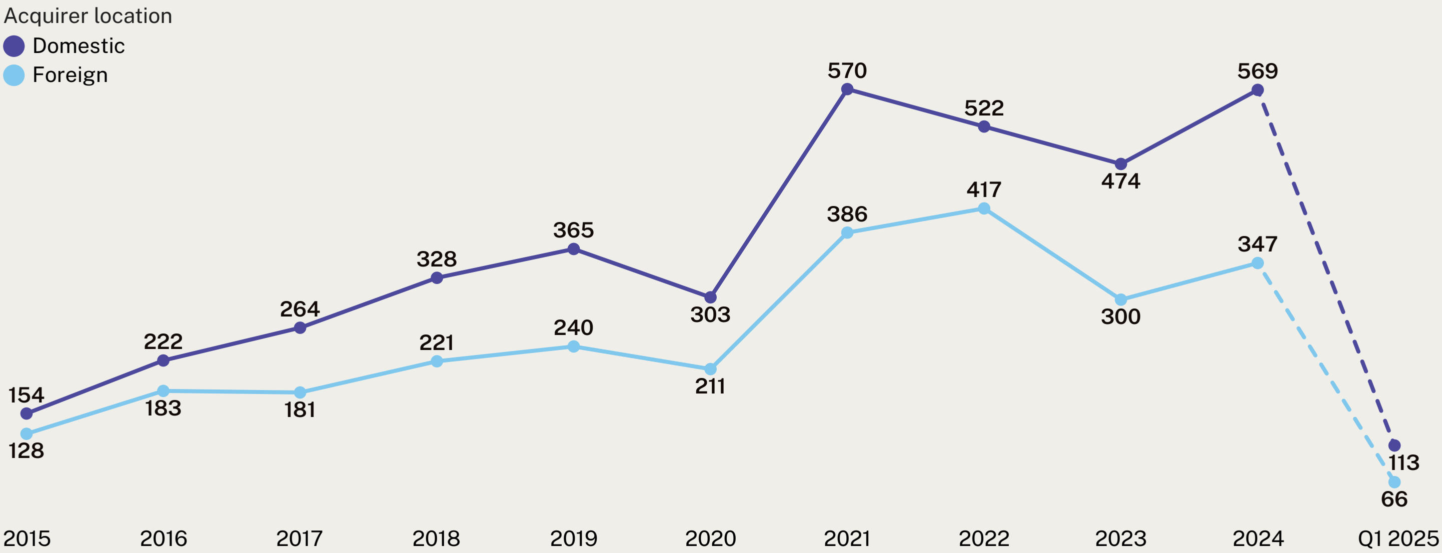
More companies continue to be acquired by corporate buyers than by financial buyers. In 2024, 85.7% of acquisitions were by corporate buyers, with the remaining 14.3% carried out by financial buyers. Corporate buyers tend to acquire companies to enhance their current offerings, access new markets, or reduce competition. Financial buyers, on the other hand, include private equity firms, which usually acquire a company to earn a financial return. Financial buyers will acquire companies, streamline operations to make the company more profitable, and then hope to make financial returns upon the eventual sale of the business.

Number of acquisitions by corporate and financial buyers (2015-Q1 2025)



Domestic and International acquisitions

Number of acquisitions by domestic and international buyers (2015-Q1 2025)



Between 2015 and 2024, acquisitions of UK high-growth companies by both domestic and foreign buyers rose significantly, increasing by 2.7x and 1.7x, respectively. There were only two dips in activity, with the first occurring in 2020, as buyers paused transactions amid pandemic-related uncertainty. However, the rebound was swift as interest rates cut to 0.1% and over £400 billion injected through asset purchases.

With interest rates at record lows and liquidity flooding the system, investors moved into risk assets, driving a sharp rebound in valuations. The FTSE TechMARK All-Share Index, which tracks many of the UK's growth-focused tech firms, rose by more than 40% between April 2020 and December 2021.[4] As a result, domestic publicly listed companies, buoyed by stronger balance sheets and inflated share prices, found themselves well-positioned to pursue acquisitions using equity as currency.

In this environment, competition for high-quality domestic assets intensified. UK high-growth companies, especially those with digital infrastructure, recurring revenues and scalable models, were well-positioned to meet this surge in demand.

But they were not only acquisition targets. Amid a sharp rise in venture and growth equity investment, many high-growth firms also became acquirers, using newly raised capital to pursue strategic takeovers of their own. This dynamic helped fuel the record levels of M&A activity seen during the pandemic recovery.

Over the past decade, US firms have completed more than 1.2k acquisitions, nearly six times the volume of France, the next most active country. This sustained lead reflects both demand and supply-side dynamics. On the buyer side, acquiring a UK company offers a cost-effective gateway into European markets, often with limited cultural or linguistic barriers. On the sell side, many UK startups see acquisition by a US firm as a fast track to global scale and higher valuations. Access to the US customer base, capital markets, and growth infrastructure is a powerful draw, particularly in sectors like software, fintech, and biotech.

In 2023, cross-border acquisitions fell to 300. While this drop was shaped by higher interest rates and tighter credit conditions, domestic policy developments also played a role. The National Security and Investment Act (NSIA), implemented in 2022, introduced new screening powers for deals involving sensitive sectors.[5] The added regulatory scrutiny has introduced friction and contributed to a more cautious outlook among international buyers.

[4] Fidelity International. "FTSE TechMark All-Share." Fidelity UK.

[5] UK Government. "National Security and Investment Act." GOV.UK.

Love Home Swap

Debbie Wosskow OBE, Founder

Love Home Swap was founded in 2009 by Debbie Wosskow OBE, entrepreneur and co-chair of the UK's Invest in Women Taskforce. The idea of the company came after a family holiday, when she began to explore more cost-effective and flexible alternatives to hotels. Inspired by the film The Holiday, in which two characters exchange homes, Wosskow created a digital platform for home-swapping.

In the years following its launch, Love Home Swap expanded across the UK and internationally. The company's growth strategy focused on acquiring smaller competitors. Between 2012 and 2015, Love Home Swap acquired platforms including 1stHomeExchange, HomeForExchange, and Guardian Home Exchange. Speaking about one of the acquisitions, Wosskow explained, "HomesForExchange is a lower price point than Love Home Swap with a different audience. They have practically no churn, just a very solid community. They are also about half of where we are price-wise."[6] These acquisitions helped the business expand its customer base and consolidate its position in the market. By 2017, the company had a network of over 100k properties in more than 100 countries.

Alongside its strategic acquisitions, the company has carried out four rounds of funding to support this growth. Investors included MMC Ventures, which invested £850k in 2012, followed by a £1.03 million round in 2013. Reflecting on this fundraising journey, Wosskow noted, "It helped that I'd built a business before and had a significant exit from that. Let's be clear, raising venture capital is hard. It definitely helps to shape your business's story and to understand its mission."[7]

In 2017, Love Home Swap was acquired for £40 million ($53m) by RCI, a division of Wyndham Worldwide, a US-based hospitality company whose portfolio includes Travelodge. RCI's acquisition of Love Home Swap built upon a previous investment in the company in 2015. Under Wyndham's ownership, Love Home Swap continued to operate as a separate brand. However, the business encountered financial difficulties and profitability remained a challenge.

In March 2023, Love Home Swap was sold again, this time to HomeExchange, a competitor based in France and part of the Tukazza Group. The acquisition allowed HomeExchange to significantly expand its footprint, especially in the UK, US, and Australia. At the time of the sale, Love Home Swap had around 10k active members, while the combined group served more than 100k members in over 130 countries.

Since the acquisition, Wosskow has focused on supporting other women to start and scale businesses, moving from CEO to advisor, investor, and board member. She emphasises that the company you start often looks very different by the time you exit, highlighting the importance of adaptability. For founders, her advice is clear: stay open to change, listen closely to your market, and be ready to evolve your vision as the business grows.[8]

"Let's be clear, raising venture capital is hard. It definitely helps to shape your business's story and to understand its mission."

[6] Shead, Sam. 2015. "Love Home Swap Acquires 'HomeForExchange.'" Business Insider. December 14, 2015.

[7] Featherstone, Emma. 2015. "Small Business in the Spotlight ... Love Home Swap." The Guardian. The Guardian. October 31, 2015.

[8] 40 Minute Mentor. 2023. "From Selling Scrunchies to Multiple Exits, with Debbie Wosskow OBE, Co-Founder of AllBright." YouTube. November 1, 2023.

04

Secondary transaction trends

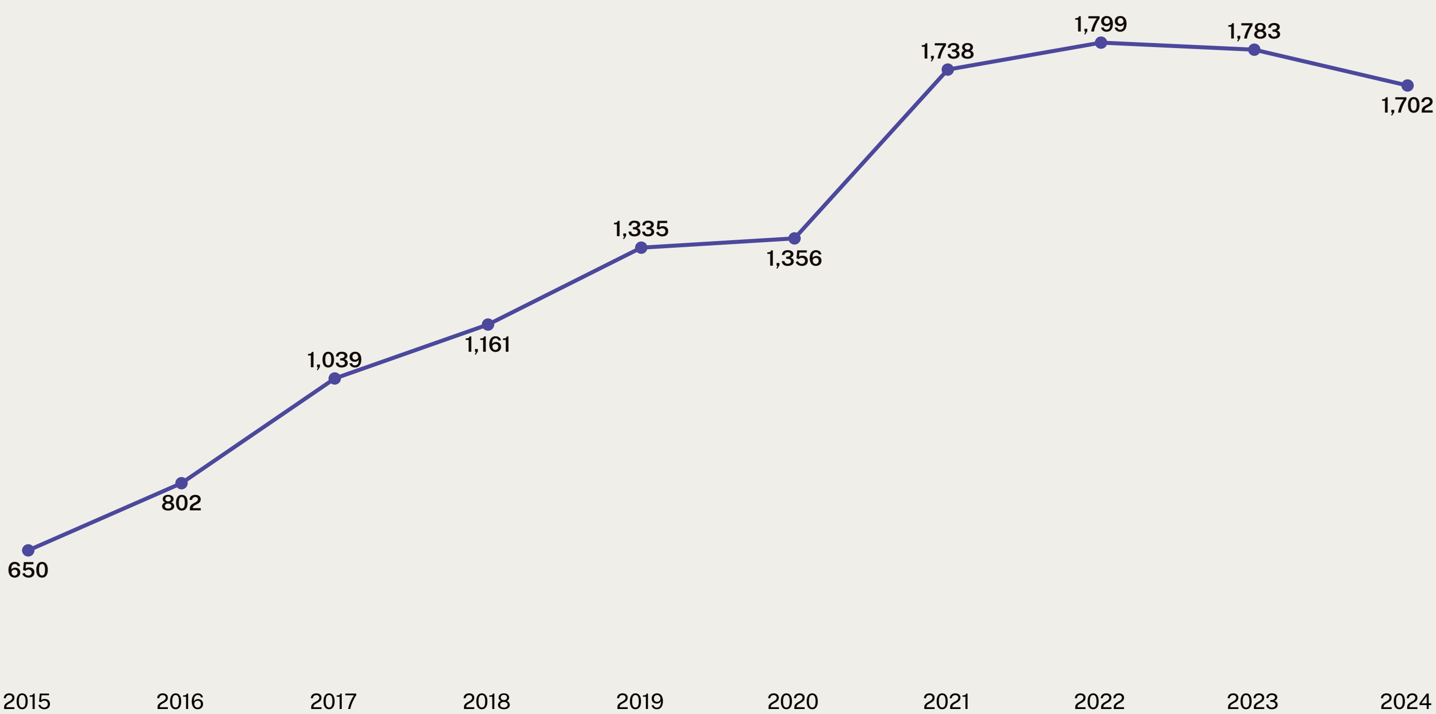
Secondary transaction trends

A secondary transaction occurs when an existing shareholder sells their shares in a company to a new shareholder without the issuance of new shares. A secondary transaction allows existing shareholders to realise some of the value of their shares without the need for an exit. This analysis centres on secondary transactions by shareholding founders in equity-backed companies.

Secondary transactions have grown in popularity since 2015, rising from 650 and peaking at 1,799 in 2022. Several factors help explain this growth in popularity. Firstly, the overall number of equity-backed businesses in the UK has increased over this time period, increasing the number of companies in scope for analysis. Secondly, there is the recent trend of private companies staying private longer. A secondary transaction will appeal to founders who want to keep their company private for longer but still release some capital from the business. For founders, secondary transactions allow for greater personal financial flexibility without the need for a full exit or losing control of the company. Shareholdings can make up significant portions of founders' remuneration packages, so realising the value of shares in this way can be valuable. Founders can then continue to grow the company in line with their vision while still realising some of the value of their shareholding.

This analysis was conducted using figures derived from annual confirmation statements filed with Companies House. These filings provide a snapshot of the company's shareholder information at the time of filing. This results in a time lag in this data and means that interim changes in ownership between filings will not be captured.

Number of equity-backed companies completing founder secondary transactions (2015-2024)



BrewDog

James Watt, Founder

BrewDog is a Scottish brewery, known for producing its own beer and operating several bars. Based in Aberdeenshire, the company produces various beers which are now household names, including Punk IPA, Hazy Jane, and Elvis Juice. Alongside its standard range of beers, BrewDog have also produced a range of collaborations with companies such as British Airways, Candy Kittens, and Aldi. Its first bar opened in Aberdeen in 2010 and has since expanded to 113 bars globally.

BrewDog was founded in 2007 by co-founders James Watt and Martin Dickie. Initially acting as CEO, Watt has since stepped down from his position, now operating in a new role as "captain". He continues to maintain a significant shareholding in the company. BrewDog's current CEO, James Taylor, took over from James Arrow in March 2025, following his nine-month stint as chief executive.

Since 2007, BrewDog has raised significant equity investment, £317 million via 14 funding rounds. It has also received £2.38 million through four grants. BrewDog's early grants helped the company develop its brewing facilities. The company was initially funded by bank loans; however, in 2009, it launched a crowdfunding campaign called Equity For Punks, which offered people the chance to purchase shares in the company. More than 1,300 people invested in the first round. The company has carried out several more Equity For Punk rounds, with its latest round (Equity For Punks Tomorrow) closing in 2021, raising £30.2 million for the company. The money raised during BrewDog's crowdfunding efforts helped fuel the company's growth, expanding its product selection and allowing it to open additional bars. US private equity firm TSG Consumer Partners purchased a £213 million stake in BrewDog in April 2017.

> **"We're pretty much working towards an IPO for the company's Equity For Punks shareholders as much as anyone else. They are the heart and soul of the business."**

While BrewDog has not yet taken concrete steps, the company has expressed interest in an IPO in London or the US. Watt's ambitions to take the company public have been well documented. BrewDog had initially planned an IPO in 2020, but this was delayed due to the pandemic. In 2022, the company appointed law firm Freshfields to work on a listing, with Watt claiming at the time, "we're pretty much working towards an IPO for the company's Equity For Punks shareholders as much as anyone else. They are the heart and soul of the business."[9]

Currently, the company is working to prevent losses by pubs that are closing across the UK and US. BrewDog is focusing on opening more pubs in newer markets in an attempt to strengthen its financial position ahead of a potential IPO. This includes China, where in 2023, the company partnered with Budweiser China to produce and sell BrewDog beers across Asia.[10]

BREWDOG

[9] Scottish Financial News. 2022. "BrewDog hires law firm to work on possible £2bn IPO." Scottish Financial News. January 17 2022.

[10] Jolly, Jasper. 2023. "BrewDog to expand in China after Budweiser deal." The Guardian. February 20 2023.

Conclusion

The UK's exit landscape for high-growth companies has continued to evolve over the past decade. These changes have been shaped by shifting market conditions, investor sentiment and the growing maturity of the startup ecosystem. From 2015 to Q1 2025, nearly 8,000 exits have taken place, highlighting the role these events play in the cycle of capital, talent, and innovation. Acquisitions continue to account for the majority of exits, but this report has highlighted the various exit pathways available to founders, such as IPOs, and the increasingly popular secondary transaction.

> **"Early indications from 2025 suggest that confidence may be returning, with three IPOs in Q1 alone, surpassing the full-year market capitalisation totals of each of the preceding three years."**

Acquisitions remain the dominant form of exit, driven by both corporate and financial buyers. The peak in 2021 can be attributed to favourable financial conditions. Activity levels remained high even in subsequent years, with 2024 recording the second-highest volume of acquisitions on record. Corporate buyers carried out the most acquisitions, motivated by goals of expansion, consolidation, and innovation acquisition, while financial buyers pursued value generation through strategic portfolio investments. International buyers remain active in the UK exit market, with US acquirers consistently leading cross-border deals. The UK's strong tech infrastructure, cultural compatibility, and access to European markets continue to attract foreign interest, despite regulatory measures such as the NSIA (The National Security and Investment Act) introducing additional friction.

IPOs, although less frequent, are important for high-growth firms seeking public capital and global visibility. The activity of 2021, supported by low interest rates and investor liquidity, demonstrated what is possible under optimal market conditions. However, post-2021 market volatility, inflationary pressures, and high-profile underperformances have dampened enthusiasm for public listings. Early indications from 2025 suggest that confidence may be returning, with three IPOs in Q1 alone, surpassing the full-year market capitalisation totals of each of the preceding three years. Many UK companies continue to list abroad, suggesting that questions remain around the competitiveness of the UK's public markets.

In parallel, founder secondary transactions have emerged as a key feature of the modern exit environment. These deals provide liquidity without relinquishing control, offering a flexible solution for founders and investors as companies continue to remain private for longer. The rise in such transactions, peaking at nearly 1.8k in 2022, highlights how exits are no longer confined to an IPO or acquisition.

Across sectors, application software has stood out due to the volume of exits carried out by companies in the sector, followed by SaaS and pharmaceuticals. Regionally, London and the South East dominate, reflecting their financial infrastructure and international appeal. Yet, hubs are appearing in areas such as Leeds, which showcase the breadth of the UK's innovation economy.

A more stable exit landscape may be on the horizon, one defined by sustained acquisition activity and signs of a potential recovery in the IPO market. These changes reflect the UK's increasingly flexible approach to value realisation and the changing priorities of founders, investors, and buyers across the high-growth ecosystem.

Methodology

High-growth companies
This report focuses on the exit activity of high-growth companies in the UK. Beauhurst identifies ambitious businesses using eight triggers that we believe suggest a company has high-growth potential. More detail on Beauhurst's tracking triggers is available at **beauhurst.com**.

Acquisitions
An acquisition occurs when a company sells the majority (>50%) of its existing shares to another company or a fund.

Initial public offerings (IPOs)
An IPO occurs when the shares of a private company are first listed on a stock exchange.

Secondary transactions
A founder secondary transaction occurs when founder-shareholders of a company sell existing shares. This report uses confirmation statements of equity-backed businesses to determine the occurrence of founder secondary activity. Confirmation statements are filed once a year with Companies House, providing a snapshot of a company's shareholders when filing, but do not capture interim changes to shareholding between filings. To be included in this analysis, the confirmation statements had to have been filed between 1st January 2015 and 31st March 2025.

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